

# Told You Don't Qualify?

## Qualification Myths Busted



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### I Didn't Experience A Reduction In Revenue

The confusion here often stems from an IRS statement indicating that one way to qualify for ERC is based on a significant decline in gross receipts in 2020 and 2021. Specifically, a 50% reduction for 2020 and a 20% or more reduction for 2021 compared to the respective quarters in 2019.

However, it's essential to note that eligibility also extends to businesses that faced a full or partial suspension of operations due to government orders or experienced "more than a nominal impact" to their business. In fact, ERC eligibility and calculation rules differ for the calendar years 2020 and 2021, so anyone suggesting that your business isn't eligible for this reason alone is doing you a disservice.

**In recap, does a lack of revenue reduction automatically disqualify you from ERC for 2020 and 2021?**  
**The unequivocal answer is: No.**

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### I Didn't Shut Down During Covid

The IRS refers to this as a fully or partially suspended by a government order, and this covers a wide range of circumstances that may qualify as "suspended" or "partially suspended" operations.

**For example:**

- › Change in business hours
- › Reduction in services offered
- › Reduction in workforce or employees
- › Distancing requirements that reduced workspace
- › Change in job roles/functions
- › Lack of Travel or Group Meetings
- › Suppliers unable to deliver critical goods

This provides just a glimpse into scenarios that may qualify as partially suspended. **Even if your business didn't experience a full or partial suspension, it's premature to assert ineligibility based solely on this criterion.** Taking a few minutes to check qualifications is crucial due to the numerous circumstances that could make your business eligible.

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### I Made Too Much Money

**This misconception is common, but it's inaccurate.** The IRS doesn't impose an earnings cap that would render your business ineligible. **ERC eligibility is determined by the adverse impact on your business's ability to operate normally due to government orders, not your earnings.**

Some businesses experienced increased revenue during COVID but still faced challenges like heightened expenses or operational changes to comply with orders, restrictions on services, or disruptions in crucial supplies. **Disregard this misleading advice.**

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### ERC Has Been Canceled

This misconception originated from the IRS News Release IR-2023-169 in September 2023. During this period, the IRS temporarily halted processing new applications from September 14 through the end of the year. The pause aimed to address the substantial backlog of applications, clarify qualification standards, and enhance guidance to prevent fraud, following the swift rejection of numerous fraudulent claims.

Despite the IRS clearly stating the resumption of processing new applications in early 2024, some mistakenly believed ERC had concluded and began spreading this misinformation. **Fortunately, ERC is still available, and this can be verified on IRS.gov. However, it's crucial to note that the deadline for claiming ERC for both 2020 and 2021 is approaching rapidly – May 1, 2024. To maximize your refund, it is advisable to submit your file before this deadline.**

